

HFCL Ltd — Concall Tracker

Telecom & optical-fibre maker · Screener ticker HFCL · Report date 5 July 2026 · Based on the 12 most recent earnings concalls read (Q1 FY24 → Q4 FY26, ~3 years)

1. Snapshot

What the business does: HFCL makes the physical plumbing and electronics of telecom networks. Its two big lines are (1) **optical fibre and optical fibre cable** — the glass strands and cables that carry internet traffic (it makes the glass itself and the finished cable), and (2) **telecom equipment** — 5G home-broadband boxes, radios, routers and Wi-Fi gear that it designs in India. It also runs **turnkey projects** (building fibre networks like the government's BharatNet), and a growing **defence electronics** arm (radars, thermal weapon sights, tactical cables, electronic fuzes). In short, it sells "picks and shovels" to telecom operators and, increasingly, exports fibre cable abroad.

Number (latest)	Value	Plain-English read
Market value of the company	₹32,828 cr	What the stock market says the whole company is worth today.
Share price / 52-week range	₹214 (₹59.8–₹220)	The stock sits near its 1-year high and is up roughly 3.5x from its low — expectations are high.
Price-to-Earnings (P/E)	≈130	You pay about ₹130 for every ₹1 of yearly profit — a very expensive, "priced-for-big-growth" tag.
FY26 revenue (consolidated)	₹4,949 cr	Total sales for the year to March 2026 — up about 22% on FY25's ₹4,065 cr.
FY26 net profit (consolidated)	₹329 cr	Final profit after all costs — nearly double FY25's ₹173 cr; the loss-making patch is behind it.
Operating margin (FY26)	~13–17%	Out of every ₹100 of sales, roughly ₹13–17 is left as operating profit — healthy for this industry, and recovering.
Return on capital (ROCE)	9.3%	The business earns about ₹9 a year on every ₹100 of capital put in — modest, below what the high P/E implies.
Borrowings (Mar 2026)	₹1,520 cr	Total debt; debt-to-equity ~0.35, i.e. borrowing is moderate, not alarming.

Note: management reports consolidated numbers (used above). Screener's standalone table shows a slightly lower FY26 revenue (₹4,528 cr) / profit (₹253 cr) — the gap is subsidiaries (HTL, Raddef, etc.). The direction is identical.

2. Concall coverage

29 concall transcripts exist on Screener (June 2019 onward). This report reads the **12 most recent** — covering three full years — in order, oldest to newest. The latest call (Q4 FY26, held 30 April 2026) was present and read; no gap.

Quarter	Call date	Read?	Quarter	Call date	Read?
Q1 FY24	Jul 2023	Yes	Q3 FY25	Feb 2025	Yes
Q2 FY24	Oct 2023	Yes	Q4 FY25	May 2025	Yes
Q3 FY24	Feb 2024	Yes	Q1 FY26	Jul 2025	Yes
Q4 FY24	May 2024	Yes	Q2 FY26	Oct 2025	Yes
Q1 FY25	Jul 2024	Yes	Q3 FY26	Feb 2026	Yes

Q2 FY25	Oct 2024	Yes	Q4 FY26	Apr 2026	Yes (latest)
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2b. Latest concall highlights — Q4 FY26 (call held 30 April 2026)

- **Record results.** Quarter sales ₹1,824 cr — the biggest quarter ever, up about 128% on the same quarter last year (₹801 cr) and 51% on the prior quarter. Quarterly profit ₹184 cr, versus a ₹83 cr loss a year ago. Full-year FY26 sales ₹4,949 cr (+22%) and profit ₹329 cr (nearly double FY25). Plain read: the turnaround management kept promising finally showed up in the numbers.
- **The mega order.** A single long-term global optical-fibre-cable supply contract worth about **US\$1.1 billion (~₹10,159 cr)** — management called it "probably the highest-ever single contract by any Indian telecom company." Plain read: one export customer has committed to buy roughly two years' worth of the company's entire current sales, spread over several years.
- **Order book nearly doubled in one quarter to ₹21,200 cr** — of which ₹12,250 cr (58%) is export orders. Plain read: confirmed future work worth more than four years of sales is now on the books, most of it overseas.
- **Two strategic moves.** (1) Board approved buying a **defence aerospace business** that brings a ~₹1,930 cr confirmed export order book — a fast entry into aerospace. (2) Approved a **₹580 cr backward-integration plant** to make "preform" (the raw glass for fibre) in-house, to protect margins. Plain read: spending to widen the moat in two directions.
- **Promoters buying in.** Board approved ~₹555 cr of warrants issued to promoters — the owners are putting more of their own money in, after their stake had been drifting down. A committee was also set up to study splitting telecom, defence and projects into separate businesses.
- **Tone: most confident of the three years.** "Defining milestone," "structurally stronger... predictable growth phase." FY27 outlook: ~20–25% more sales (target ₹6,000–6,250 cr) and 3–4% higher margins — though management still refuses to call any figure a formal "guidance."

2c. Business mix & capacity (quick-glance)

- **Domestic vs export:** Exports jumped to **41% of revenue in FY26** (from just 12% in FY25) — over 70% of cable production is now shipped abroad. Plain read: HFCL flipped from mostly-India to nearly-half-exports in a single year, driven by data-centre demand overseas.
- **Product vs project:** Products (fibre + equipment) are now ~62% of sales (were 27% five years ago); turnkey projects the rest. Plain read: the mix has shifted toward higher-value, higher-margin products.
- **Capacity utilization:** Fibre and cable plants running at **100%** ("trying to make it 110%"), up from just ~45% during FY25's slump. Plain read: there is essentially no spare capacity left — which is why the big expansions below matter.
- **Expansion under way:** Fibre capacity 28 → 33.9 million fibre-km by Dec 2026; cable 34 → 42.36 million fibre-km by Dec 2026; high-count "IBR" cable expanding 1.73 → 19 million fibre-km by mid-2026. Plain read: capacity is being multiplied to feed the US\$1.1 bn contract and export order book.

3. Earning-trigger thesis ★

The headline driver: A worldwide shortage of high-fibre-count optical cable — created by AI data centres and hyperscalers needing enormous amounts of fibre — has turned HFCL's long-weak optical-fibre business from a drag into a growth engine almost overnight. HFCL is one of very few Indian makers exempt from European anti-dumping duty, and it landed a ~US\$1.1 billion multi-year export contract in early 2026 that, together with a ₹21,200 cr order book, gives it years of visible work. Layered on top are three secondary triggers management has been building for years: India-designed telecom equipment

(5G boxes, routers for BharatNet), a defence-electronics arm now bolstered by an aerospace acquisition, and in-house "preform" to lift margins.

Trigger	What management said	Evidence so far	Horizon	Strength
OFC export upcycle (data-centre / AI fibre demand)	OFC revenue to roughly double, exports >50% of it; US\$1.1 bn contract signed	Exports 12%→41% of sales in one year; FY26 revenue +22%, profit ~2x; plants at 100%; realization ₹850→₹1,055/km and rising	Now → 3-5 yrs	Strong
India-designed telecom equipment (5G, routers, UBR)	Was to hit ₹2,000 cr in FY25; only Indian router maker besides Tejas; BharatNet supply	Big orders won (₹623 cr 5G, ₹800 cr routers) but the ₹2,000 cr FY25 target was badly missed	Ongoing	Moderate
Defence + aerospace electronics	Revenue ₹500-600 cr in FY27 at 20-25% margin; aerospace deal adds ₹1,930 cr order book	Order book building; but flagship electronic-fuze approval slipped repeatedly for 2+ years	FY27 onward	Moderate
Backward integration (preform plant, ₹580 cr)	Make raw glass in-house to widen margins	Just approved; ~2-year build — unproven	FY28+	Unproven

4. Management consistency scorecard

The promised-versus-delivered record across the three years read:

Period	What was promised	What actually happened	Verdict
Q3-Q4 FY24	Telecom equipment revenue to leap from ~₹150 cr to ₹2,000 cr in FY25 ("₹1,700 cr order in hand")	Only ~₹1,000 cr delivered in FY25; blamed delayed approvals, weak exports, BharatNet slippage	Missed
Q4 FY24 → Q2 FY25	OFC recovery "from Q2 FY25"; overall FY25 growth 25-30%	Recovery slipped to Q3, then Q4, then FY26; FY25 revenue actually <i>fell</i> and the year ended in losses	Missed
Q4 FY25 → Q1 FY26	FY26 a "breakout year": OFC to roughly double, ~25% overall growth, margins back to FY24 levels	FY26 revenue +22%, profit nearly doubled, exports surged, plants at 100% — delivered	Delivered
Every call, FY24-FY26	Defence a "transformative engine"; electronic-fuze order to convert "next quarter"	Fuze approval pushed Apr→Jun→Aug→Nov 2025→Apr 2026; still not converted after 2+ years	Missed / slipping
FY24-FY26 standing goal	₹10,000 cr revenue in "3 years"; product-heavy mix	At ₹4,949 cr; mix did shift to 62% products — on the path but well short of the headline number	Too-early / partly

Narrative drift: The *strategy* has been remarkably steady for three years — shift from low-margin projects to India-made products, expand fibre, chase exports, build defence. What drifted badly was the *timing and the numbers*. Through FY24-FY25 management repeatedly over-promised (a ₹2,000 cr equipment target it missed by half, an OFC recovery it pushed out four times) and the business fell into two loss-making quarters. Then in FY26 the external cycle turned sharply in its favour and the same story finally delivered — spectacularly. So the honest read is: **right thesis, chronically optimistic timelines, and a big slice of the FY26 payoff came from an industry-wide fibre boom rather than management precision.** The one promise that has simply not converted, call after call, is the defence electronic fuze.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver and it is visibly playing out. The global shortage of high-fibre-count optical cable (AI/data-centre demand) is real, HFCL has a rare anti-dumping-free route into Europe, and it converted the cycle into a ~US\$1.1 billion multi-year contract and a ₹21,200 cr order book (58% exports). The proof is in the FY26 numbers — revenue up 22%, profit nearly doubled, plants at 100%, exports leaping from 12% to 41% of sales. Capacity is being multiplied to feed it. This is a genuine trigger with evidence behind it, not a hope. The caveat is that a fibre upcycle is a *cycle* — pricing and demand can turn again, and the stock's ~130 P/E already prices in a lot of the good news — but on the question asked, the trigger is durable and live.

Management consistent? → MAYBE

Mixed record with real drift on the numbers. The underlying strategy has been steady and sensible for three years, and management ultimately delivered the FY26 turnaround it promised. But the track record on specific targets is poor: the ₹2,000 cr FY25 equipment target was missed by half, the OFC recovery was pushed out four separate times, FY25 tipped into losses after "25-30% growth" guidance, and the defence electronic-fuze order has slipped every single quarter for over two years. Management is also candid and refuses to soften — but they consistently under-deliver on their own timelines, and a large part of the FY26 win rode an external fibre boom rather than their forecasting. Steady story, unreliable calendar — that is a MAYBE, not a YES.

Prepared from HFCL Ltd earnings-call transcripts sourced via Screener.in (Q1 FY24 through Q4 FY26) and Screener financial tables. Consolidated figures unless noted. This is an educational summary of what management said versus what the numbers show — not investment advice.